



MINISTRY OF LOCAL GOVERNMENT
LUSANGAZI TOWN COUNCIL



FINANCIAL STATEMENT FOR THE YEAR

ENDED 31st DECEMBER, 2020

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December, 2020 which disclose the sources, utilization and balances of cash for Lusangazi Town Council during the period under review.

Background and Location of the Council

The Council is located at Village 18 in Masili in, Lusangazi District, Eastern Province of Zambia along Ukwimi Road Lusangazi district was declared a district in April, 2018 by His Excellency the President of the Republic of Zambia, Edgar Chagwa Lungu under Statutory Instrument No. 26 of 2018. The district was created in order for Government to take development closer to the Local people, through the delivery of Services such Schools, Hospitals, provision of water and Sanitation and Other Services. Lusangazi was a constituency under Petauke district, the name Lusangazi is derived from the Lusangazi River which means meanders through the district. The district was formally known as Ukwimi Refugee Settlement, the refugees came from different Countries namely Angola, Mozambique and Rwanda.

The district lies approximately within latitude 13°30' and 14°45' longitude, 31° west and 32° east. The district shares district boundaries with Petauke in the south and with Sinda and Mambwe in the north-east, as well as Sereje in Central Province in the north-west. The district has a total surface area of approximately three thousand seven hundred and one Square Kilometres (3,701 Km²).

The address of the registered office of Lusangazi Town Council (LTC) is as follows:

The Civic Centre

P O Box 560151

Ukwimi Road

LUSANGAZI

Composition of the Council

Lusangazi Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Lusangazi Council administers the Lusangazi District.

The Council is composed of an elected Chairperson, four (4) elected Councillors from four (4) wards and one (1) Chief as provided for under Article 153 (2) (c) of the constitution of Zambia (Amendment) Act No. 2 of 2016. The current Council was elected to office in 2019 to serve a five-year term up to 2021. The vice chairperson was elected from among the councillors in 2016 for a period of two and half years.

The Councilors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Banda William	Male	Chairperson	Not applicable
2	Banda William	Male	Vice Chairperson	Lusangazi
3	Mwanza Million	Male	Councillor	Chisangu
4	Maumba Kezias	Male	Councillor	Ukwimi
5	Mwale Boniface	Male	Councillor	Mawanda

REPORT OF THE COUNCIL

The district also has one (1) elected Member of Parliament which is Msanzala Constituency. The Member of Parliament that held office during the year was:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon.Peter Daka	Male	Msanzala

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Godwin Sekelani Phiri was the District Commissioner for Lusangazi District.

The Council Secretariat

The Secretariat of Lusangazi Town Council was headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission. The Council Secretary was assisted by four (4) heads of departments responsible for Finance, Planning, Works and Human Resource and Administration, and heads of two (2) units namely; Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No. 2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2020	2019
	Kwacha	Kwacha
Cash Receipts	9,774,559	5,884,007
Payments	8,788,555	6,757,082
Increase/decrease in Cash and Cash Equivalents	986,004	(873,075)

Key Policies Adopted During the Year

The Council adopted the following Depreciation policies during the year 31st December 2020:

• Leasehold Land Building	0.02
• Office Equipment	0.20
• Motor Vehicle – Non-Utility	0.20
• Motor Vehicle – Utility	0.25
• Furniture and Fittings	0.15
• Plant and Equipment	0.20
• Computer Software	0.20

REPORT OF THE COUNCIL

Related Party Transactions

There were no related party transactions during the financial year 31st December 2020.

Property, Plant and Equipment

The council purchased Property, Plant and Equipment valued at K1,302,167 which included a differential GPS and a Generator set. No disposals were done during the year 31st December 2020.

Intangible Assets

No intangible assets were purchased or disposed of during the year 31st December 2020.

Employees

The average number of employees during the year was 57. The total amount spent on employees' remuneration and welfare during the year was K4,382,094.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No. 36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year ended 31st December 2020 did not incur any ngwee towards the sponsoring of various sporting activities.

Corporate Social Responsibility

The Council made donations during the year amounting to K1,500 towards the support of various socially responsible causes.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and Section 44 (2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council.

Signature

Name.....

Position: Council Chairperson

Date:.....



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lusangazi Town Council is responsible for preparing the financial statements for the year ended 31st December, 2020 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 6 to 8.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No. 1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lusangazi Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Lusangazi Town Council for the financial year ended 31st December, 2020.

Signed on behalf of the Council on by;

Name: BLACKSON TEMBO

Signature:

Position: Council Chairman

Name: MABUSO MARE

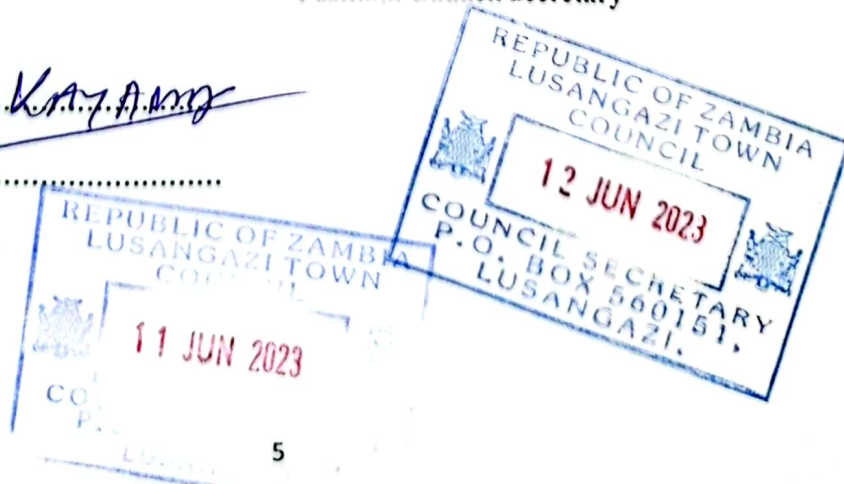
Signature:

Position: Council Secretary

Name: SIPALO KAYAMA

Signature:

Position: Council Treasurer





REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA

E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771

To: The Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements of Lusangazi Town Council

Opinion

I have audited the financial statements of Lusangazi Town Council for the financial year ended 31st December, 2020 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for the Local Government Equalization Fund and the Statement of Cash Receipts and Payments for the Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information on pages 9 to 30.

In my opinion, the accompanying financial statements of Lusangazi Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December, 2020 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Lusangazi Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



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OFFICE OF THE AUDITOR GENERAL**

Emphasis of Matter

I draw attention to part 1.1 to the financial statements which describes the roadmap of the Council to adoption of Accrual Basis Financial Reporting Framework as result of which the Council has not produced Accrual Basis type of financial statements required by the Local Government Act, 2019.

My opinion is not qualified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act 1991, the Public Finance Management Act 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal controls as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error,

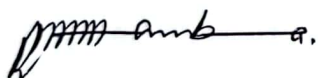


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OFFICE OF THE AUDITOR GENERAL

as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.

- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

 a.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE
ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

DATE: 06/07/2023

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2020

	Note	2020 Kwacha	2019 Kwacha
RECEIPTS			
Local Taxes	2	5,835	1,185
Fees and Charges	3	863,937	61,247
Licences	4	36,181	30,980
Levies	5	85,520	74,465
Permits	6	16,500	5,622
Local Government Equalisation Fund	7	6,843,190	5,523,731
Constituency Development Fund	8	800,000	-
Other Grants	9	370,000	100,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	753,396	86,777
TOTAL RECEIPTS		9,774,559	5,884,007
PAYMENTS			
Personal Emoluments	13	4,382,094	3,100,749
Use of Goods and Services	14	1,935,160	1,677,405
Financial Charges	15	36,989	20,601
Social benefits	16	-	-
Non-Financial Assets Acquisition	17	1,302,167	1,260,195
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	1,132,145	698,132
TOTAL PAYMENTS		8,788,555	6,757,082
Increase/(decrease) in Cash		986,004	(873,075)
Foreign Exchange Losses	21	-	-
Cash at beginning of the year		158,994	1,032,069
Cash at the end of the year	22	1,144,998	158,994

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds and Electoral Commission of Zambia. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Signature.....

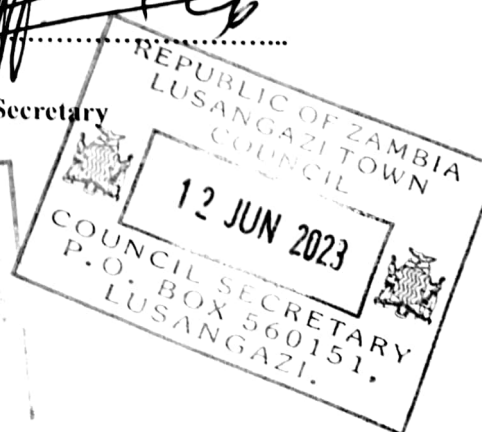
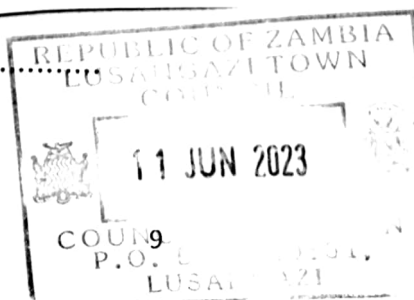
Position: Council Chairperson

Signature.....

Position: Council Secretary

Signature.....

Position: Council Treasurer



**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR
31ST DECEMBER 2020**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local Taxes	3,750	-	3,750	5,835	156%	(2,085)	-56%
Fees and Charges	2,052,200	-	2,052,200	863,937	42%	1,188,263	58%
Licences	44,980	-	44,980	36,181	80%	8,799	20%
Levies	107,180	-	107,180	85,520	80%	21,660	20%
Permits	41,500	-	41,500	16,500	40%	25,000	60%
Local Government Equalisation Fund	6,869,760	-	6,869,760	6,843,190	100%	26,570	0%
Constituency Development Fund	800,000	-	800,000	800,000	100%	-	0%
Other Grants	-	-	-	370,000	100%	(370,000)	100%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	-	0%	-	0%
Other Receipts	12,000	-	12,000	753,396	6278%	(741,396)	-6178%
TOTAL RECEIPTS	9,931,370	-	9,931,370	9,774,559	98%	156,811	2%
PAYMENTS							
Personal Emoluments	4,922,682	-	4,922,682	4,382,094	89%	540,588	11%
Use of Goods and Services	2,910,670	-	2,910,670	1,935,160	66%	975,510	34%
Financial Charges	34,000	-	34,000	36,989	109%	(2,989)	-9%
Social benefits	-	-	-	-	0%	-	0%
Non-Financial Assets Acquisition	1,300,452	-	1,300,452	1,302,167	100%	(1,715)	0%
Financial Assets	-	-	-	-	0%	-	0%
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	763,566	-	763,566	1,132,145	148%	(368,579)	-48%
TOTAL PAYMENTS	9,931,370	-	9,931,370	8,788,555	88%	1,142,815	12%
Increase/(Decrease in Cash	(0)	-	-	986,004		(986,004)	

The composition of budget adjustments and explanations of major variances are provided in Note 23.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR THE YEAR ENDED 31ST DECEMBER 2020**

		2020 Kwacha	2019 Kwacha
RECEIPTS			
Funding	7(a)	6,843,190	5,523,731
TOTAL RECEIPTS		6,843,190	5,523,731
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		4,382,094	3,100,749
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		24,681	580,387
Goods and Services		393,227	995,377
Administrative Costs		153,174	125,900
Other Costs		504,253	718,716
Sub-Total		5,457,429	5,521,129
Capital Expenditure Payments:	7(c)		
Infrastructure Development		1,014,585	998,610
Rehabilitation Works		-	-
Asset Acquisition		217,845	106,365
Other Costs		-	-
Sub-Total		1,232,430	1,104,975
TOTAL PAYMENTS		6,689,859	6,626,104
Increase/(decrease) in cash		153,331	(1,102,373)
Cash at the beginning of the year		74,622	1,027,751
Cash at the end of the year		227,954	74,622

Note 7 explains the composition and other details relating to the various elements included in this Statement.

Note: The cash at the end of the year is as indicated in the Capital Account K221,757 and in the Salaries Account an amount of K6,197 which was part of operation funds included in Salaries account bearing the balance of K90920 which has other funds from locally generated funds.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR THE YEAR ENDED 31ST DECEMBER 2020**

		2020	2019
		Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	800,000	-
Other sources	8(b)	-	-
TOTAL RECEIPTS		800,000	-
PAYMENTS			
Infrastructure Development	8(c)	-	-
Rehabilitation Works	8(d)	188,154	-
Asset Acquisition	8(e)	-	-
Administrative Costs	8(f)	25,051	-
TOTAL PAYMENTS		213,205	-
Increase/(decrease) in Cash		586,795	-
Cash at beginning of the year		-	-
Cash at the end of the year		586,795	-

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lusangazi Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

(a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

(b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2022

(c) Treasury and Financial Management Circular No. 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2019 up to 2021.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January, 2022 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lusangazi Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No. 2 of 2019, and the Public Finance Management Act No. 1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on, 8th June, 2023 by the Ordinary Council.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorises Lusangazi Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 Section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

b. Fees and Charges

Section 27 (1) of the Local Government Act No. 2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are:

- (a) Chairperson, elected councillors, Co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized. Lusangazi Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lusangazi Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year 31st December, 2020, the Council generated local tax cash receipts as follows:

Local Tax Type	2020	2019
	Kwacha	Kwacha
Residential Rates	-	-
Industrial / Commercial Rates	-	-
Mining Rates	-	-
Personal Levy	5,835	1,185
TOTAL	5,835	1,185

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2020	2019
	Kwacha	Kwacha
Fees and charges	205,937	61,247
Land Development Charges	658,000	-
Total	863,937	61,247

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2020 Kwacha	2019 Kwacha
Consent Fees	-	-
Survey Fees	500	-
Building Inspection fees	-	-
Plan Scrutiny Fees	-	-
Rentals/Lease of Council's properties	-	-
Application Form Fees	121,476	3,150
Sketch Fees	-	-
Search Fees	-	-
Market Fees	-	-
Parking Fees	-	-
Bus Station Fees	-	-
Affidavit Fees	775	-
Grave Reservation	-	-
Refuse Disposal Fees	-	-
Notice of Marriage	-	-
Registration of Suppliers	-	1,500
Abattoir/Meat Inspection Fees	-	-
Farm Produce Levy	-	-
Communication Mast Levy	45,000	-
Land Record	-	-
Billboard and Banner	-	-
Lease of Council Transport	-	-
Illegal Vending Fees	-	-
Penalties	-	-
Site Rent	-	-
Change of ownership of plot	-	-
Other Fees and Charges/other income	38,186	56,597
TOTAL	205,937	61,247

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges during the year ended 31st December 2020:

Charges Type	2020	2019
	Kwacha	Kwacha
Service charges - residential plots	378,000	-
Service charges - Industrial plots	280,000	-
Premium plots - Residential	-	-
Premium plots - Commercial	-	-
Lease charges	-	-
Other	-	-
TOTAL	658,000	-

4. Licenses

A total of K36,181 cash receipts was raised from issuance of various licenses.

Licence Type	2020	2019
	Kwacha	Kwacha
Manufacturers licence	-	-
Retail licence	9,240	14,562
Wholesale licence	-	-
Occupancy licence	-	-
Commercial travellers licence	-	-
Hawkers licence	-	-
Peddlers licence	-	-
Stall licence	-	-
Liquor licence	450	2,008
Firearm and ammunition licence	10,675	4,600
Petroleum licence	-	-
Restaurant licence	-	-
Dog licence	-	-
Other licences	-	-
	15,816	9,810
TOTAL	36,181	30,980

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2020	2019
	Kwacha	Kwacha
Livestock Levy	1,100	1,456
Bird Levy	120	32
Fish Levy	-	-
Pole Levy	-	-
Charcoal Levy	978	988
Sand Levy	-	-
Miscellaneous levies	83,322	71,989
TOTAL	85,520	74,465

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2020	2019
	Kwacha	Kwacha
Health Permit	5,000	5,622
Burial Permits and Grave sites	-	-
Fire Certificates	8,000	-
Extension of business hours permits	-	-
Transportation of Opaque	3,500	-
Other Permits	-	-
TOTAL	16,500	5,622

7. Local Government Equalisation Fund

a. Funding

	2020	2019
	Kwacha	Kwacha
January	572,480	510,952
February	572,480	591,107
March	559,195	511,107
April	572,480	511,107
May	572,480	511,107
June	572,480	511,107
July	559,195	571,587
August	572,480	561,587
September	572,480	571,587
October	572,480	572,480
November	572,480	100,000
December	572,480	-
TOTAL	6,843,190	5,523,731

NOTES TO THE FINANCIAL STATEMENTS

b. Operational Expenditure

The Council applied amounts totalling K5,457,429 of LGEF receipts towards meeting Operational expenses representing 80% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council applied amounts totalling K1,232,430 of LGEF receipts towards meeting capital expenditure representing 20% of the total LGEF funding for the reporting period. The amount was made up of K74,622 as balance brought forward from 2019 and K1,232,430 for the year under review representing 20%. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

At the end of the year, an amount of K221,757 remained as closing balance under LGEF capital component.

8. Constituency Development Fund

Statement of Cash Receipts and Payments for CDF under the period reviewed shows an amount of K800,000 having been received from Petauke Town council. It should be noted that the Constituency is still being shared by the two councils.

a) CDF Funding

	2020	2019
	Kwacha	Kwacha
Constituency		
Msanzala	800,000	-
Total Funding	800,000	-

b) Other CDF Sources of Funding

There were no other sources of funding

c) Infrastructure Development

No Infrastructure development works were undertaken during the year under review.

d) Rehabilitation Works

	2020	2019
	Kwacha	Kwacha
Constituency		
Msanzala	188,154	-
	-	-
Total Rehabilitation payments	188,154	-

Rehabilitation works are still be carried for the constituency for year being reviewed.

e) Asset Acquisition

No assets were acquired for the Constituency for the year being reviewed.

NOTES TO THE FINANCIAL STATEMENTS

D) Administrative Costs

	2020	2019
	Kwacha	Kwacha
Constituency		
Msanjala	25,051	-
Total	25,051	-

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2020	2019
	Kwacha	Kwacha
Grants in Lieu of Rates	-	-
Grants from Cooperating Partners	-	-
Other	370,000	100,000
TOTAL	370,000	100,000

10. Borrowings

No Borrowing during the year under review.

11. Council Commercial Venture

No receipts and payments under Council Commercial ventures were incurred

12. Other Receipts

The Council did not receive any amounts in its various bank accounts that could not be traced to the sources.

Migodi Investments		25,000
Zifil	9,000	7,000
Contributions	5,970	800
Bid Document	1,000	-
Electoral Commission of Zambia	737,426	-
TOTAL	753,396	86,777

Disclosed in other receipts are funds received from Electoral Commission of Zambia Which were initially not part the statement of cash receipts and payments

NOTES TO THE FINANCIAL STATEMENTS

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

	2020	2019
	Kwacha	Kwacha
Salaries Division I	2,002,454	1,227,697
Salaries Division II	1,178,029	800,545
Salaries Division III	525,125	574,744
Salaries Division IV	611,636	497,763
Other Allowances	64,849	-
TOTAL	4,382,094	3,100,749

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2020	2019
	Kwacha	Kwacha
Office Running Costs	114,080	74,146
Building, Repair and Maintenance Costs	8,539	18,118
Plant, Machinery and Vehicle Running and Maintenance Cost	268,240	445,240
Other Administrative operating costs	153,174	101,641
Requisites	19,098	14,217
Services	820,071	580,387
Travel expenses	493,328	387,076
Training	58,630	56,580
TOTAL	1,935,160	1,677,405

15. Financial Charges

The Council paid amounts totalling K36,989.00 in financial charges.

	2020	2019
	Kwacha	Kwacha
Interest on Internal Debt	-	-
Interest on External Debt	-	-
Other Interest	36,989	20,601
TOTAL	36,989	20,601

16. Social Benefits

Council did not incur any payment toward social benefits on death on duty, burial, and other benefits during the year 31st December 2020.

NOTES TO THE FINANCIAL STATEMENTS

17. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2020	2019
	Kwacha	Kwacha
Building & Structures (Construction of Provisional Office	874,906	845,275
Office Equipment	245,646	40,565
Boreholes,pumps and other water Reticulation	160,065	308,555
Other Assets-office furniture	21,550	55,800
Intangible Assets		10,000
TOTAL	1,302,167	1,260,195

18. Financial Assets

There were no acquisitions of financial assets during the year.

19. Loan Repayments

No Loan repayment occurred under the year being reviewed as council had no borrows.

20. Other Payments

These relate to sundry items such as ...

Fixed Allowance	-	125,310
Statutory Contribution	393,896	538,807
Subscription	14,750	34,015
Electoral Commission of Zambia	723,499	-
TOTAL	1,132,145	698,132

21. Foreign Exchange Losses

No transactions were made in other currencies and determined by reconciling opening cash to closing cash balances during the year 31st December 2020.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2020	2019
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	1,144,998	158,994
Cash equivalents	-	-
TOTAL	1,144,998	158,994

a. Cash on hand

There was no cash on demand made of cash collections and petty cash:

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2020:

NOTES TO THE FINANCIAL STATEMENTS

Account Name	Account No	2020 Kwacha	2019 Kwacha
District Fund A/c	Zanaco -5664520300496	60,305	6,069
Salaries A/c	Zanaco-5664520300294	90,920	77,004
Salaries Indo A/c	Indo	6,521	517
Capital Projects	Zanaco -5664520300295	221,757	74,622
Grants A/c	Zanaco-5664520300193	100,577	110
Msanzala Constituence A/C	Zanaco-0567194300118	586,795	-
Rural Water and Sanitation A/C	Zanaco-5664520300601	554	672
Electoral Commission of zambia	Zanaco-5664520300597	13,927	-
Land Development Fund A/c	Zanaco-5664520300803	63,643	-
TOTAL		1,144,998	158,994

c. Cash Equivalents

The Council had no treasury bills valued under the year 31st December 2020.

23 Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on... Subsequent approved adjustments to the budgets consisted of approved supplementary provisions and approved budget reallocations as follows:

b. Budget Variances

• Local Taxes

The Council planned to raise K3,750 from local taxes during 2020 financial year but collected K5,835 representing 156% performance. This resulted in an favourable variance of K2,085 representing 56% on this budget line. The district is new, and the Council did collect as expected from local taxes as most of the businesses are being established.

• Fees and Charges

The Council planned to raise K2,052,200 in fees and charges but collected K863,937, representing 42% performance. This resulted in an adverse variance of K1,188,263 representing 58%. This was as a result of Lusangazi Town Council advertising for plots in the third quarter of the year resulting to a favorable variance revenue favorable variance in the following year.

• Permits

The Council planned to raise K41,500 from Levies but collected K16,500 representing 40% of the budget Performance resulting in an adverse variance of K25,000 representing 60%. This was as a result of Lusangazi Town Council revenue being affected by Covid 19 which caused Bars and Restaurants not to operating normally for the year under review.

NOTES TO THE FINANCIAL STATEMENTS

- **Constituency Development Fund (CDF)**

The Council budgeted to raise K1,600,000 as Constituency Development Fund from Central Government for Msanzala. The Central Government did remit Constituency Development Fund (CDF.) amounting to K1,600,000.00 which was shared by two Councils, K800,000.00 each as the Constituency is divided into two during the period under review.

- **Other receipts**

The Council budgeted to raise K12,000 funds on other receipts but received K753,396. representing 6278% budget performance resulting in a favorable variance of K 741,396 representing 6178%. This was as a result of Funds being received from Electoral commission of Zambia

- **Other Grants**

The Council budgeted to raise K370,000 from Central Government and Cooperating Partners in form of Capital Grant.

- **Use of Goods and Services**

The Council planned to spend K2,910,670 on use of goods and services but spent K 1,935,160 representing 66% budget performance. This resulted into a favourable variance of 34%. The same is mainly attributed to delays in procurement processes for drilling of boreholes under the constituency development fund.

- **Non-Financial Asset Acquisition**

The Council planned to spend K1,300,452 on Non-Financial Asset Acquisition but spent K1,302,167 representing 100% budget performance.

- **Other Payments**

The Council planned to spend K763,566 on other payments but spent K1,132,145 representing 148% budget performance resulting into an adverse variance of 48%. This is attributed to the funds received from electoral commission of Zambia for electoral activities

NOTES TO THE FINANCIAL STATEMENTS

24 Provision of Services

The Council incurs expenditure of offering services, it is mandated to provide to the residents of the district.

Type of Services	2020 Kwacha	2019 Kwacha
COVID 19 Prevention	28,554	-
Make Zambia Clean and Health Campaign	1,318	17,660
HIV/AIDS Prevention	5,568	13,741
Roads and Drainages	92,820	23,045
Parks, Zoos and Botanical Gardens	-	-
Management of Council Buildings	-	-
Ward Development Fund Projects	-	1,952
Procurement of Differential GPS	150,000	16,569
Sanitation Facility Supply	-	15,218
Boreholes and Water reticulation	160,065	
Other Services	340,096	
TOTAL	778,420	88,185

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

25 Property, Plant and Equipment

The Council had property, plant and Equipment valued at K1,302,167

	Office Equipment K'000	Land and Buildings K'000	Plant & Machinery K'000	Motor vehicles K'000	TOTAL K'000
Opening balance	-	-	-	-	1,879,897
Additions	267,196	1,034,971	-	-	1,302,167
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	267,196	1,034,971	-	-	3,182,064

26. Investments in Other Entities

No investments in shares were held by the council during the period under review.

27. Administered Transactions

No collections were administered on behalf of Zambia Revenue Authority.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Lusangazi Town Council:

NOTES TO THE FINANCIAL STATEMENTS

a. Fringe benefits Disclosures

The Chairman was provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lusangazi Town Council are:

Aggregate Remuneration	K144,000
Number of persons	4

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K2,002,454
Number of persons	9

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

The amounts, class of provider and purpose for which external assistance was received during the year are outlined below.

30. Third Party Payments

No third-party payments benefited from payments were made.